



LET US GO BACK a decade. Then, India already had a vibrant stock market with many well-known business families and conglomerates having listed their companies on the bourses. But a missing link was a dedicated platform for small and medium enterprises (SMEs)—often considered the backbone of any economy. For context, government data shows there are nearly 9.8 million registered micro, small and medium enterprises or MSMEs in the country.

Such a platform was always on the minds of market participants—something on the lines of the London Stock Exchange’s Alternative Investment Market or AIM platform—wherein such companies could be provided with a lenient set of listing rules, which would prepare them to migrate to the main exchanges after a few years.

Eventually, such a segment was launched—both on the BSE and the National Stock Exchange (NSE)—in March 2012. Soon after, the first SME listed. If the numbers are anything to go by, the segment has registered consistent growth since inception. That’s commendable, considering that its trading turnover pales in comparison to the benchmark indices. For example, on the BSE SME, the average daily trading turnover in July is pegged at ₹18.5 crore with the cumulative turnover at nearly ₹315 crore; on the NSE, the comparable figures are ₹3,211 crore and ₹54,588 crore, respectively. The segment has also helped companies grow and scale to the next level by providing them the benefits of listing, like increased visibility, better access to finance and better compliance and processes, along with the respect a listed entity enjoys.

THE BENEFITS OF LISTING

Brothers Rahul and Varun Batra are Directors of Beta Drugs, an SME listed on NSE Emerge. Theirs was a business like any other family-managed venture, and it was doing pretty well before being listed. But listing did change

the business for good. “The best thing to come with listing is the level of professionalism in our company,” says Rahul Batra. “When we decided to get listed, we brought on board a professional CFO who helped us save a lot on interest costs. We got experts in HR, sales, data management and almost for everything. Once you are listed in the market, you have to deliver good results and that pressure helped us perform better. If we had not listed, we wouldn’t have brought in this kind of professionalism,” he adds.

One of the reasons for improved professionalism is the fact that listing brings with it institutional investors as the SME arena has been seeing traction from them.

“The SME segment has grown significantly year on year, especially during pre-Covid-19 times. Many of our IPOs witnessed participation from mutual funds, alternative investment funds, and ultra HNIs,” says Mahavir Lunawat, Founder, Pantomath Capital, an investment banking firm that has managed more than 100 SME issues.

He adds that the issues have provided exits to PE/VC funds, while there have been cases of acquisitions, fur-

Given that listing has its benefits and there are a lot of SMEs wanting to get listed, there is strong potential for growth of both SMEs and the segment